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Vietnam Renewable Energy Corporate DPPA

Thanh-Hai Nguyen, Special Counsel | 14 February 2025

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01 DPPA Decree

DPPA Decree

Models of Corporate DPPAs

Model 1: Physical DPPA (via private wire)

- Physical DPPA: Sale, purchase and delivery of power via direct private wire between RE GENCO and Consumer.
- Existing retail PPA of Consumer with EVN PCs: Any demand not met by the onsite project is serviced via separate retail PPA of Consumer with EVN Power Corporations under existing regulations.
- Excess PPA with EVN: Excess power may be exported to the grid (subject to new regulations to be issued).

Model 2: Virtual/Synthetic DPPA (via national grid)

Sale and purchase of power via a Forward Contract between RE GENCO and Consumer (or authorized IP/EZ/EPZ power retailer/utility), particularly:

- RE GENCO sells entire power output via the spot market of Vietnam Competitive Wholesale Electricity Market (VWEM) under a VWEM PPA with EVN.
- Consumer (or authorized IP/EZ/EPZ power retailer/utility) buys electricity from grid via a power purchase agreement with EVN Power Corporation to meet its power demands.
- RE GENCO and Consumer (or authorized IP/EZ/EPZ power retailer/utility) enters a Forward Contract as a virtual/synthetic PPA (or also known as Contract for Differences (CfD))

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New Electricity Law - DPPA mechanisms

a. Similar to the current DPPA Decree No. 80/2024/ND-CP, the New Electricity Law regulates two models of direct power sale and purchase between large electricity users and power generators as follows:
   i. Sale and purchase of electricity through a separate connected power wire (also knowns as "physical DPPA");
   ii. Sale and purchase of electricity through the national grid (also knowns as "synthetic DPPA").
b. The direct sale and purchase of electricity between large electricity users and power generators must ensure the following principles:
   i. Complying with the provisions of the laws on planning, investment, issuance of power operation licenses, electricity purchase and sale activities and other relevant provisions of law;
   ii. Conformity with the level of the competitive electricity market.
c. "**Large electricity consumers**" are defined as customers who use electricity with high power and consumption levels as regulated by the Minister of MOIT, in accordance with each period of development of the power system.
d. The Government to provide for the mechanism of direct electricity sale and purchase between large electricity users and power generating units; stipulate the dossiers, order, procedures and responsibilities of relevant parties when participating in the mechanism of direct electricity sale and purchase between large electricity users and power generating units.

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Draft New DPPA Decree

Physical DPPA related regulations

Physical / Private-Wire DPPA

a) Clarify relevant regulations for rooftop solar (definition, private connection wire)

b) Excess power sale by RE GENCO to EVN up to 20% of actually generated output at the average energy market price of previous year, not exceeding the ceiling price for ground-mounted solar farm price bracket;

c) Procedure and form for registration with DOIT for RTS physical DPPA.

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Draft New DPPA Decree

Synthetic DPPA related regulations

Synthetic / Virtual / Financial DPPA via National Grid

a) RE sources: add biomass, other than existing solar and wind farms (10MW+)

b) Unlike the Current DPPA Decree No. 80, the Draft New DPPA Decree does not require power retailers in industrial parks, economic zones, export processing zones, industrial clusters, hi-tech parks, concentrated information technology parks, high- agricultural parks and other similar models as regulated by the competent State authorities ("**Authorized Power Retailers**") to meet (A) a minimum power output of ≥ 200,000 kWh per month of its purchase from EVN PCs or (B) a grid connection at ≥ 22 kV of voltage level from EVN PCs, when such Authorized Power Retailers participate, on the power off-taker side, in synthetic DPPAs, when they have been authorized (by Large Power Consumer(s)) to purchase power from EVN PCs and enter into Forward Contract(s) with RE GENCOs. If so approved, it may allow more power retailers to join the synthetic DPPA mechanism.

c) the Draft New DPPA Decree supplements an annual review of qualifications of participating power consumers.

d) The Draft New DPPA Decree requires the NSMO to monitor the allocation ratio of actual electricity output (at the delivery point) from RE GENCOs to large power consumers (Authorized Power Retailers) in each transaction cycle to ensure that the total actual electricity output values (at the delivery point) allocated in each transaction cycle do not exceed the measured output of the RE GENCO in the corresponding transaction cycle.

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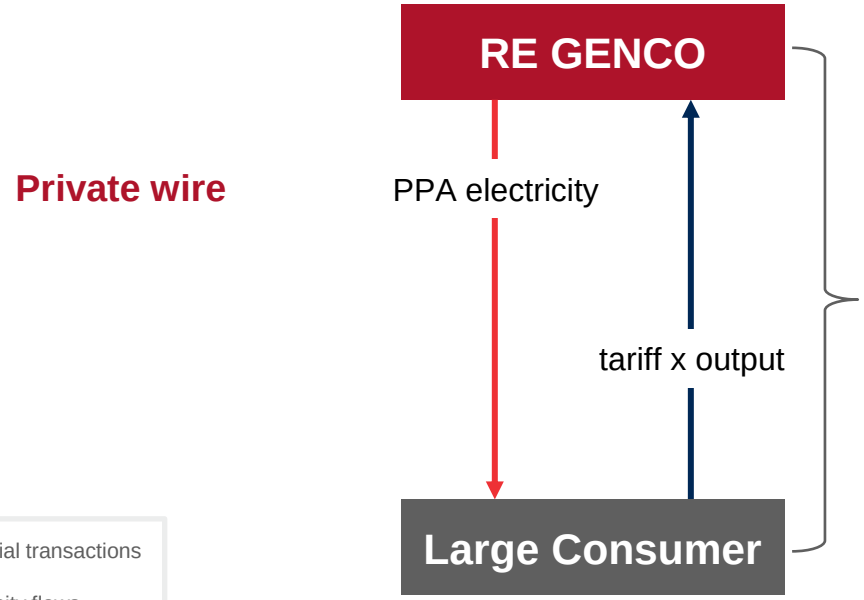
02 Model 1: Physical corporate DPPA

Model 1: Physical corporate DPPA



Physical corporate DPPA

The power price is determined by mutual agreement by parties

Financial transactions

Electricity flows

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Model 1: Physical corporate DPPA

Scope of GENCO: “Renewable Energy Generation Companies”

Criteria required to qualify as a “Renewable Energy Generation Companies” for DPPA mechanisms

Renewable energy generation companies ("RE GENCO")

- Electricity entities owning solar, wind, small hydropower, biomass, geothermal energy, wave power, tidal, ocean current, other forms of renewable energy sources and *rooftop solar systems*; and
- Being granted or exempted from the electricity operation license according to the laws.

Takeaways:

- In previous drafts, electricity entities owning rooftop solar systems are not explicitly set forth as to whether they are a qualified RE GENCO under DPPA Decree or not. The definition under DPPA Decree makes it clear by adding “rooftop solar systems” thereto; and
- Model 1 (Physical DPPA) does not set a cap on the capacity of power plants.

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Model 1: Physical corporate DPPA

Scope of Consumers: “Large Power Consumers”

Key criteria required to qualify as a “Large Power Consumer” for DPPA mechanisms

(i) In case of an existing power consumer:

Having an average consumption output of ≥ 200,000 kWh (averaged over the most recent 12 months)

(ii) In case of a new power consumer or a power consumer consuming electricity for less than 12 months:

Registered output of ≥ 200,000 kWh

a Large Power Consumer under DPPA Decree

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Physical DPPA – Key Regulations

01 The PPA between RE GENCO and Consumer must be in accordance with the Electricity Law and relevant laws, and must contain the following key provisions:

- Contracting parties
- Purpose of use
- Standards and quality of services
- Rights and obligations of the parties
- Electricity price
- Payment methods and terms
- Term and termination
- Defaults and remedies
- Terms on private wire

02 Generally, the electricity price shall be determined by mutual agreement between contracting parties

03 RE GENCO must negotiate, agree and sign PPA with EVN (or its authorized units) on capacity, output, and price for <u>excess</u> electricity output in accordance with regulations.

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Physical DPPA – Key Regulations

04

The retail power price shall be determined according to the MOIT's regulations on electricity tariffs [i.e., subject to appraisal by DOIT and approved by PPC on an annual basis] if a power entity:

- performs both the power generation and retail functions in an industrial park (IP), EZ, EPZ, and similar park; and
- purchases power from both the national grid/power system and other on-site power sources to sell power to customers inside IP, EZ, EPZ, and similar park.

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Physical DPPA – Steps required

Step 1 — **Licensing**

RE GENCOs / project investors shall conduct procedures on master planning, investment, construction, power operation license for projects, works and grids for entering into physical DPPAs with Consumers

Step 2 — **Contracting**

RE GENCOs and Consumers shall negotiate, agree and sign physical DPPAs

Step 3 — **Reporting**

Consumers must prepare a written report on the signing of the DPPA with RE GENCO and send it to the local PPC and notify the EVN's in-charge power corporation and SMO in writing; the report and notification must include a copy of the DPPA.

Contents of the report

(i) notification on the signing of the DPPA, (ii) Consumer's information and (iii) the current status of RE GENCO and the RE project.

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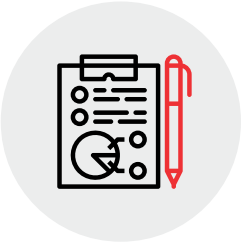
Physical DPPA

Reporting requirements

Larger Power Consumers must make and submit the following reports:



Report on commencement of Physical DPPA

- Recipients: MOIT and in-charge provincial People's Committee
- Deadline: Within 10 days from the date of signing the physical DPPA

Report on the results of Physical DPPA for Year N-1

- Recipients: MOIT and in-charge provincial People's Committee
- Deadline: Before 30 January of Year N
- Frequency: On an annual basis

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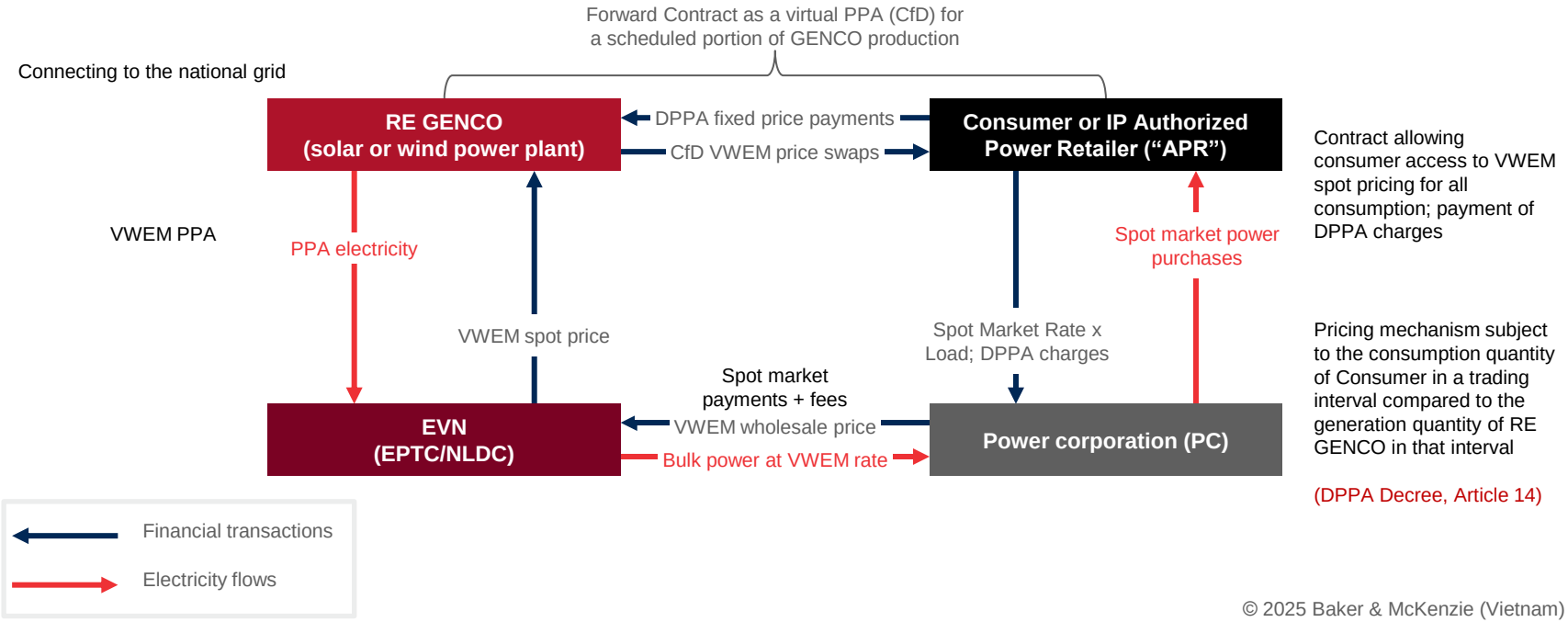
03 Synthetic/Virtual Corporate DPPA

A. Structure and Parties to Synthetic DPPA

Synthetic corporate DPPA



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Synthetic corporate DPPA

Scope of “Renewable Energy Generation Companies”

Criteria required to qualify as a “RE GENCO” for Synthetic DPPA

Renewable energy generation companies ("RE GENCO")

(DPPA Decree, Articles 2.2(a) and 3.6)

- Being the power generation company owning a grid-connected **wind or solar** power plant with an installed capacity of ≥ 10 MW;
- Being granted or exempted from the electricity operation license according to the laws; and
- Directly participating in VWEM.

Takeaways:

- Synthetic DPPA only applies to grid-connected wind or solar power plants;
- Capacity cap: ≥ 10 MW (such plant must have sufficient infrastructure and facilities to operate in the mechanism, i.e., information system and SCADA system).

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Synthetic corporate DPPA

Scope of Consumers: “Large Power Consumers”

Criteria required to qualify as a “Large Power Consumers” for Synthetic DPPA

Large Power Consumers

- Being manufacturing consumers;
- Purchasing power at ≥ 22 kV of voltage level from EVN’s Power Corporations or power retailers;
- *For cases of existing power consumers*, having an average consumption output of ≥ 200,000 kWh (averaged over the most recent 12 months);
- *For cases of new power consumers* or *a power consumer consuming electricity for less than 12 months*, registered output of ≥ 200,000 kWh

(DPPA Decree, Articles 2.2(b) and 3.12)

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Synthetic corporate DPPA

Scope of Power Retailers: “Power Retailers in IP, EZ, EPZ”

Criteria required to qualify as a “Power Retailers in IP, EZ, EPZ” for authorized off-taker for Synthetic DPPA

IP Power Retailer/Utility

- Being a power retailer inside IP, EZ, EPZ, and similar park;
- Being granted a power operation license for power retail in such park;
- Electricity output purchased ≥ 200,000 kWh per month at ≥ 22 kV of voltage level; and
- Being authorized (by large power consumers) to purchase electricity from PC.

Additional documents required for IP Power Retailers/Utility when applying for participation in the Synthetic DPPA

- Written agreement with EVN PC on authorized IP Power Retailer’s responsibility for the installation of meters satisfying technical conditions under regulations, and expected electricity purchase charges/prices; and
- Agreement of consumers with IP's power retailer on expected termination of the existing retail PPA(s) when consumer(s) (i.e., IP tenants) select to participate in Synthetic DPPA, and retail costs within the IP, EZ, and EPZ; **OR** authorization agreement by consumers to IP power retailer to participate in Synthetic DPPA and amendments to existing retail PPA(s).

(DPPA Decree, Articles 2.2(c), 3.7 and 26.2)

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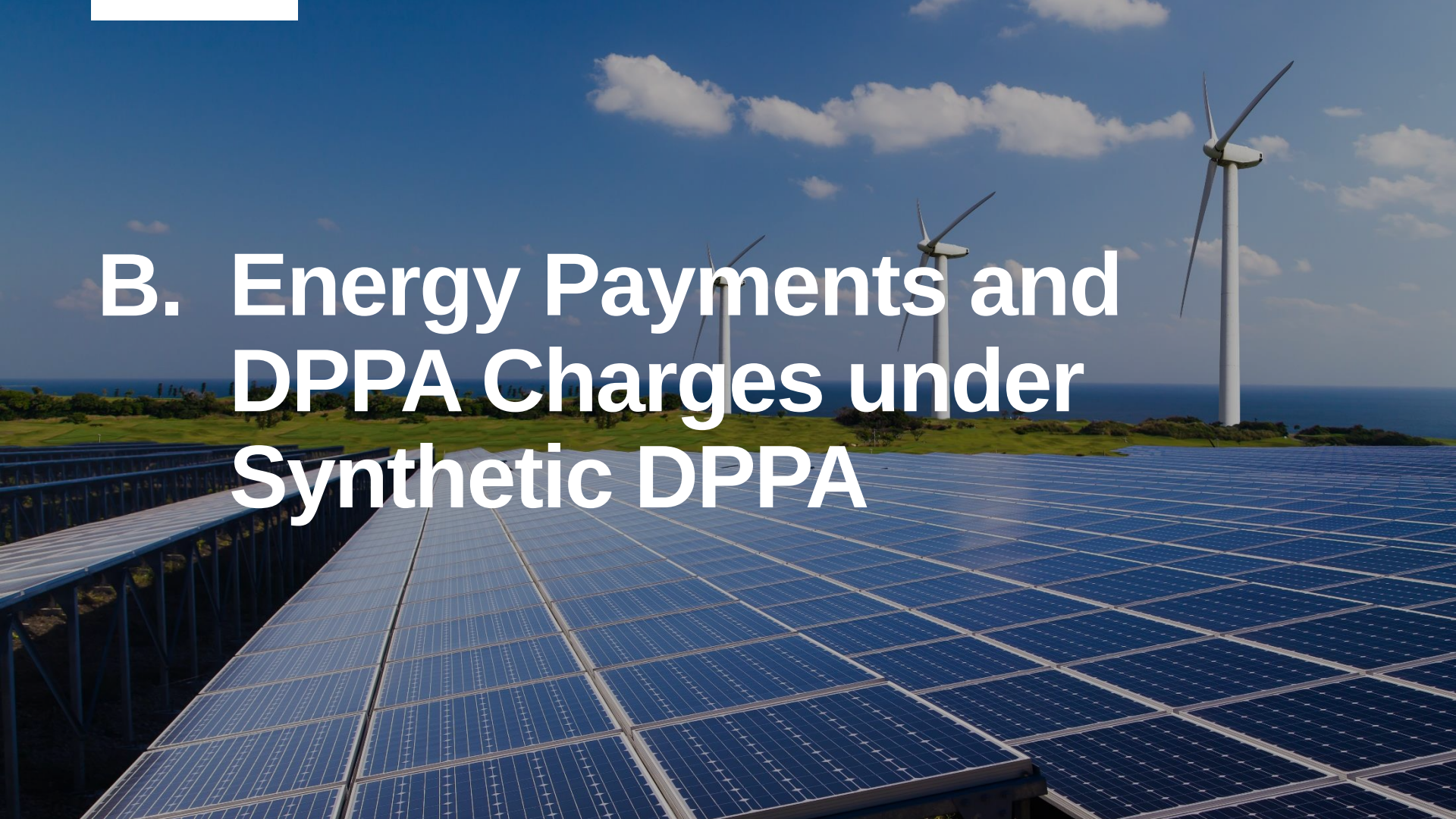

B. Energy Payments and DPPA Charges under Synthetic DPPA

1. RE GENCO & Consumer's Forward Contract (or CfD)

Payment Mechanism

$$R_c = \sum_{i=1}^{I} [P_{c(i)} - FMP_{(i)}] \times Qc_{(i)}$$

R_c:	The revenue of RE GENCO under Forward Contract in the payment cycle (VND)
$P_{c(i)}$:	Committed contract (strike) price under Forward Contract (VND per kWh)
$FMP_{(i)}$:	Spot market electricity price in trading interval (i) (VND per kWh)
$Q_{c(i)}$:	Committed power quantity/output under Forward Contract in trading interval (i) (kWh)

(DPPA Decree, Article 18.3)

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2. RE GENCO & EVN's VWEM Power Purchase Agreement

Payment Mechanism

$$R_g = \sum_{i=1}^{I} Q_{mq(i)} \times FMP_{(i)}$$

R_g:	Total amount of market energy payments in the payment cycle (VND)
$Q_{mq(i)}$:	Metered quantity/output of RE GENCO in trading cycle (i) (kWh)
$FMP_{(i)}$:	Full spot market electricity price in trading cycle (i) (VND per kWh)

$$FMP_{(i)} = SMP_{(i)} + CAN_{(i)}$$

$SMP_{(i)}$:	Spot market electricity price in trading cycle (i) (VND per kWh)
$CAN_{(i)}$:	Market capacity price in trading cycle (i) (VND per kWh)

01

RE GENCO must make a day-ahead projection of power output of the power plant for each trading cycle and make offerings in accordance with MOIT's VWEM operation regulations.

02

RE GENCO, Electricity System and Market Operator (SMO) and EVN shall prepare, publish, compare, and confirm spot market payment statements in accordance with MOIT's VWEM operation regulations.

03

RE GENCO and EVN shall perform procedures and works for payments in accordance with the executed PPA.

(DPPA Decree, Articles 10 - 13); (Amended Circular 45/2018/TT-BCT, Article 80)

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3. Consumer & EVN PC's Power Supply Agreement

Payment mechanism (1/5)

$$C_{KH} = C_{TTD} + C_{BL}$$

$$= (C_{DN} + C_{DPPA} + C_{CL}) + C_{BL}$$

C_{KH} :	Total electricity purchase charges of Consumer from EVN PC (VND)
C_{DN} :	Energy charge paid based on the electricity market price (VND)
C_{DPPA} :	DPPA charge (for use of services and grids of the power system)
C_{CL} :	Difference clearing charge (VND)
C_{BL} :	Electricity charge paid based on the electricity retail tariff in each trading cycle (VND)

$$C_{DN} = \sum_{i=1}^{I} Q_{KHhc(i)} \times CFMP_{(i)} \times K_{pp}$$

$Q_{KHhc(i)}$:	Adjusted electricity consumption/output of Consumer in trading cycle (i) (kWh)
$CFMP_{(i)}$:	Electricity purchase price from EVN PC in the spot market in trading cycle (i) under VWEM (VND/kWh)
K_{PP} :	Power distribution loss coefficient in trading cycle (i) applicable to EVN PC in year N (varying between Consumers with a voltage level less than 110 kV and those with a level equal to or more than 110 kV)

(DPPA Decree, Articles 16.1 and 16.2)

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3. Consumer & EVN PC's Power Supply Agreement

Payment mechanism (2/5)

$$\mathbf{CFMP_{(i)} = CSMP_{(i)} + CCAN_{(i)}}$$

$$\mathbf{= FMP_{(i)} \times k_{(i)}}$$

$CFMP_{(i)}$:	Spot market price for wholesale electricity buyers (PC) in trading cycle (i) (VND per kWh)
$CSMP_{(i)}$:	Market electricity price for wholesale electricity buyers (PC) in trading cycle (i) (VND per kWh)
$CCAN_{(i)}$:	Market capacity price for wholesale electricity buyers (PC) in trading cycle (i) (VND per kWh)
$k_{(i)}$:	Power transmission loss coefficient in trading cycle (i)

$$\mathbf{FMP_{(i)} = SMP_{(i)} + CAN_{(i)}}$$

$FMP_{(i)}$:	Full market electricity price in trading cycle (i) (VND per kWh)
$SMP_{(i)}$:	Market electricity price in trading cycle (i) (VND per kWh)
$CAN_{(i)}$:	Market capacity price in trading cycle (i) (VND per kWh)

(DPPA Decree, Article 16.2(d)); (Amended Circular 45/2018/TT-BCT, Articles 82.2, 83 and 84)

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3. Consumer & EVN PC's Power Supply Agreement

Payment mechanism (3/5): DPPA charges

$$C_{DPPA} = \sum_{i=1}^{I} Q_{KHhc(i)} \times C_{DPPAdv}$$

i :	Trading cycle (i) in the payment period
I :	Total number of trading cycles in the payment period
$Q_{KHhc(i)}$:	Adjusted power consumption of Consumers (or authorized IP Power Retailers) in the trading cycle (i) (kWh)
C_{DPPAdv} :	DPPA charges per unit of power of year N (VND/kWh)

(DPPA Decree, Articles 16.1(b) and 16.4(d))

01

DPPA charges consist of the following charges: (i) transmission charge, (ii) distribution charge and retail charge, and (iii) SMO charge)

02

DPPA charges are determined by adding the total cost and estimated profit of the above services, which is then divided by total domestic commercial generation quantities of EVN PCs

03

Charges used to calculate DPPA charges are based on approved data of year N. Otherwise, data from year N-2 is used. In cases of using data from year N-2, the estimated profit of the above services determined by multiplying owner's equity with the return on equity presented in the current average retail electricity price plan in year N-2

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3. Consumer & EVN PC's Power Supply Agreement

Payment mechanism (4/5): Difference clearing charge

$$C_{CL} = \sum_{i=1}^{I} Q_{KHhc(i)} \times P_{CL}$$

C_{CL} :	Difference clearing charge
i :	Trading cycle (i) in the payment period
I :	Total number of trading cycles in the payment period
$Q_{KHhc(i)}$:	Adjusted power consumption of Large Power Consumers in the trading cycle (i) (kWh)
P_{CL} :	Cost of clearing differences for month M per unit of power for Large Power Consumers (VND/kWh)

(DPPA Decree, Articles 16.1(b) and Appendix IV)

$$P_{CL} = P_{CLTTBOT} + P_{CCLTTGT} + P_{CLTTSMHP} + P_{DVPT} + P_{CLTTK}$$

$P_{CLTTBOT}$:	The difference in BOT components payment related to BOT power plants (VND/kWh) for month M-2
$P_{CCLTTGT}$:	The difference in component payments to power plants indirectly participating in VWEM, including RE GENCO, power plants selling surplus power and power importing [from other countries] (VND/kWh)
$P_{CLTTSMHP}$:	The difference in component payment for strategic multi-purpose hydropower plants (SMHPs) in the month (VND/kWh)
P_{DVPT} :	Ancillary service charge per unit of power (VND/kWh)
P_{CLTTK} :	The additional payment difference per unit of power (VND/kWh) arising from costs that are allowed to be included in the electricity price but have yet to be incorporated

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3. Consumer & EVN PC's Power Supply Agreement

Payment mechanism (5/5): Retail tariff (C_{BL}):

Actual consumption ≤ Generation output

$$C_{BL} = 0$$

Actual consumption > Generation output

Retail tariff for remaining power supply (C_{BL}):

In cases where Consumer's actual consumption (or IP Authorized Power Retailer's purchasing output if applicable) is higher than RE GENCO's generation output in a trading cycle,

the Consumer (or IP Authorized Power Retailer if applicable) shall pay for the difference (between Consumer's actual consumption and RE GENCO's generation output) [as additionally supplied by EVN PC] at the electricity retail tariff.

(DPPA Decree, Articles 14.2, 14.3 and 16.1(c))

$$C_{BL} = \sum_{i=1}^{I} (Q_{KH(i)} - Q_{KHhc(i)}) \times P_{BL(i)}$$

$P_{BL(i)}$:	Current retail electricity tariff in trading cycle (i) issued by the MOIT (VND/kWh)
$Q_{KH(i)}$:	Actual consumption quantity of Consumer in trading cycle (i) (kWh)
$Q_{KHhc(i)}$:	Adjusted power consumption of Consumer in trading cycle (i) (kWh)

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C. Synthetic DPPA Transaction Agreements

1. RE GENCO & Consumer's Forward Contract (or CfD)

Key Terms (Appendix III to DPPA Decree) (1/2)

RE GENCO and Consumer (or authorized IP/EZ/EPZ) have the rights to negotiate and agree provisions in accordance with Vietnamese laws

Key terms	Provision under DPPA Decree
COD	The date on which the entire or a part of the grid-connected solar power plant (i) is ready to sell power to the EVN and (ii) satisfy conditions as prescribed by the laws.
Contract price	Consumer undertakes to pay the GENCO for contract output at an agreed contract price (strike price) for interval i, day D, month T, year N in the future.
Contract quantity	To be agreed/negotiated for interval i, day D, month T, year N in the future.
Payment method	Payments for the difference in prices between the contract price and the spot market price.
Contract term	▪ Effective date: execution date. ▪ Term: [x] years from COD (to be negotiated). ▪ Survival clauses: After the termination of this contracts, the provisions remain effective within [x] years so that the party can make final invoices, adjusted invoices, make payments and implement contract rights and obligations (to be negotiated).

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1. RE GENCO & Consumer's Forward Contract (or CfD)

Key Terms (Appendix III to DPPA Decree) (2/2)

Key terms	Provision under DPPA Decree
Rights and obligations of parties	RE GENCO and consumer are entitled to agree on the contents of this term in accordance with relevant legal regulations.
Liability due to the breach of contract	RE GENCO and consumer are entitled to agree on the contents of this term in accordance with relevant legal regulations.
Dispute resolution	RE GENCO and consumer are entitled to agree on the contents of this term in accordance with relevant legal regulations.
RECs, carbon credits	Renewable energy certificates (RECs) and/or carbon credits shall be transferred from RE GENCO to Large Power Consumer(s).

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2. Consumer & EVN PC's Power Supply Agreement

Model Key Terms (Appendix II to DPPA Decree) (1/2)

Consumer and EVN PC have the rights to negotiate and agree provisions in accordance with Vietnamese laws

Key terms	Provision under DPPA Decree
Electricity purchase	The PC and consumer are entitled to agree on the contents of this term in accordance with relevant legal regulations.
Performance guarantee	Applicable in cases where the two parties have an agreement on contract guarantees in accordance with applicable regulations.
Contract term	▪ Effective date: To be negotiated between the parties. If the parties agree to choose the application of the performance guarantee, the effective date of the contract is determined to be: (i) the guaranteed confirmation date; or (ii) the energized acceptance date, depending on which date occurs earlier. ▪ Contract term: To be agreed upon by the parties, but not exceeding the period during which the consumer has the right to legally own and/or use the electricity usage location.
Standards and quality of services	To comply with requirements on electricity quality and customer service quality according to the laws.
Electricity metering	▪ Electricity metering activities are agreed upon by the parties in accordance with the law. ▪ The consumed electricity is determined by the meter reading and the multiplier factor of the electricity metering device. ▪ The multiplier factor of electricity metering device is agreed and recorded in the minutes of installation or removal of the electricity metering device.

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2. Consumer & EVN PC's Power Supply Agreement

Model Key Terms (Appendix II to DPPA Decree) (2/2)

Key terms	Provision under DPPA Decree
PPA electricity payment formula	Subject to the consumption quantity of consumers in a trading cycle compared to the generation quantity of RE GENCO in that cycle.
Payment	■ Electricity bills and reactive power purchase invoices are made according to the cycle of meter reading cycle. ■ Payment currency: Vietnamese Dong.
Suspension, discontinuation or reduction of power supply	PC reserves the right to temporarily suspend, discontinue or reduce electricity supply to the consumer in cases where: (i) the consumer breaches its payment obligations as specified under payment clauses; or (ii) events arise according to laws.
Breach, penalty, compensation for damages, termination	■ If a party breaches its obligations, commitments or warranties under this agreement, it must cease all violating acts and remedy the consequences of the violation within a reasonable period of time upon notification by the non-defaulting party. ■ Violation penalty: [x] % of the value of breached obligations (to be negotiated). ■ The parties may mutually or unilaterally terminate the agreement.
Governing law	Vietnamese law

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3. RE GENCO & EVN's VWEM Power Purchase Agreement

Model Key Terms (Appendix I to DPPA Decree) (1/2)

RE GENCO and EVN have the rights to negotiate and agree provisions in accordance with Vietnamese laws

Key terms	Provision under DPPA Decree
COD	The date on which the entire or a part of the grid-connected solar power plant (i) is ready to sell power to the EVN and (ii) satisfy conditions as prescribed by the laws.
Contract term	■ Effective date: from the execution date, unless otherwise agreed upon by the parties ■ Term: [x] years from the COD (to be negotiated) ■ Survival clauses: After the termination of this contracts, the provisions remain effective within [x] years so that the party can make final invoices, adjusted invoices, make payments and implement contract rights and obligations (to be negotiated).
Output	Metered power output
Price	The spot market price announced by EVN/NLDC(A0) to be determined according to VWEM regulations
Monthly payment	■ VWEM's payments based on monthly payment statement provided by EVN/NLDC(A0) (including market energy payments and market capacity payments) ■ Other payments arising from late payment interest and adjusted payments (if any) ■ Regulatory taxes and fees, including related taxes and fees arising from changes of laws (if any)

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3. RE GENCO & EVN's VWEM Power Purchase Agreement

Model Key Terms (Appendix I to DPPA Decree) (2/2)

Key terms	Provision under DPPA Decree
Responsibility for connection and metering system	Responsibility for interconnection and metering system are in accordance with regulations on transmission power system, standards and regulations on power metering in the power system, and relevant technical standards.
Power plant dispatch and operation	Operations of power plant and power grid are in accordance with regulations on operation of power systems, transmission power systems, dispatch of power systems, operation of competitive electricity market standards and relevant technical standards.
Invoicing and payment	Invoicing and payment of power prices are in accordance with laws on invoicing.
Breach of contract, compensation for damages and termination	■ In the event of a contractual default, the non-defaulting party will send a written notice to the defaulting party for cooperation to resolve. ■ The defaulting party is liable for payments of compensation for damages for the default. The value includes: (i) actual and direct loss and (ii) benefits the non-defaulting party would have been entitled if there was no default by the defaulting party. ■ The parties may mutually or unilaterally terminate the agreement.
RECs, carbon credits	Renewable energy certificates (RECs) and/or carbon credits shall belong to RE GENCO.

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Events of suspension or termination of DPPA operations

Scenario 1: Suspension of the DPPA operation

- Events of suspension:

1) The electricity market is suspended pursuant to the MOIT's regulations on VWEM operations;
2) One of the agreements under the DPPA mechanism is suspended or expires, affecting relevant parties' interests;
3) Exploitation of mechanism or policies for profiteering;
4) Participating Consumer has an average power consumption less than 200,000 kWh (average in 12 consecutive months)

- Consequential payment mechanism:

a) The retail tariff, as prescribed by MOIT, will be applied to Consumer/IP Authorized Power Retailer.
b) RE GENCO and EVN shall negotiate and agree on the generation price within the applicable renewable energy price bracket or any other applicable pricing mechanisms.

- Competent authority: MOIT Minister shall decide on suspension of the DPPA operation *based on reports and proposals of EVN, SMO and relevant agencies and organizations*.

Scenario 2: Termination of the DPPA operation

- Events of suspension:

1) Voluntary termination at the request of participating parties;
2) Exploitation of the mechanism or policies for profiteering and consequences cannot be remedied.

- Consequential payment mechanism: RE GENCO, Consumer/IP Authorized Power Retailer, and EVN PC shall negotiate and sign PPAs in accordance with current regulations.
- Competent authority: MOIT Minister shall decide on termination of the DPPA operation *after having obtained written opinions of relevant agencies*.

(DPPA Decree, Article 27)

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Resumption of the DPPA operations

Events of resumption of the DPPA operations [after suspension]

Events of Resumption

(i) The violation [causing suspension] have been remedied and [such remedy has been] confirmed by competent authorities.

(ii) Authorized State agencies decide on resumption of the operations of the electricity market.

Consequence: In the event of resumption, the relevant entities shall be responsible for resuming/continuing to implement the agreements in the signed PPAs.

Competent authority: MOIT Minister shall decide on resumption of the DPPA operations of Consumer/IP Authorized Power Retailer/RE GENCO *based on reports and proposals of EVN, SMO and relevant agencies and organizations*.

(DPPA Decree, Articles 27.3 and 27.4)

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D. Next Steps for Implementation

Key Items

Key Items	Implementation Works
Power distribution loss coefficient in a trading cycle in year N (K_{PP})	■ Calculation made by Power Corporation (EVNPC) before 15 November of Year N-1. ■ Calculation results to be approved by EVN. ■ Calculation results to be published by EVN before 30 November of Year N-1.
DPPA charges per unit of power of year N (VND/kWh) (C_{DPPAdv})	■ Calculation made by EVN. ■ Calculation results to be notified to and approved by the MOIT. ■ Calculation results to be published by EVN before 15 December of Year N-1.
Cost of clearing differences for month M per unit of power (P_{CL})	■ Calculation made by EVN regarding the P_{CL} of Month M-2. ■ Calculation results to be published by EVN before the 30th of Month M-1.
PDP8 and PDP8 Implementation Plan	■ MOIT is responsible for assessing the market operations and reporting to the Prime Minister for considering to adjust and update to the master plan (PDP8 and PDP8 implementation plan) (Article 29.1(a).
Distribution charge, SMO charge, VWEM regulations	■ Separate updates to relevant regulations of MOIT for implementing DPPAs.

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Synthetic DPPA – Steps required (1/2)

Step 1 — **Dossier submission**

Consumers must submit a registration dossier for participating in the DPPA mechanism to SMO. For (i) off-takers inside IP, EZ and EPZ, and (ii) IP Authorized Power Retailer, some additional documents are required.

Step 2 — **Further submission and review**

Within five working days from receipt of the dossier, SMO must send the dossier to EVN Power Corporations (and any relevant IP power retailer). At the same time, SMO must review the satisfaction of the dossier.

Step 3 — **Confirmation by PC and IP Power Retailer**

Within five working days from receipt of the dossier from SMO, EVN's relevant power corporation (and any relevant IP relevant Power Retailer) must issue a written response confirming the readiness and expected time to convert Consumer (or IP Authorized Power Retailer)'s existing retail PPA.

Confirmation by EVN

Within five working days from receipt of the dossier from SMO, EVN must issue a document confirming the readiness and expected time to sign the VWEM PPA with RE GENCO.

(DPPA Decree, Article 26)

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Synthetic DPPA – Steps required (2/2)

Step 4	**SMO's response to Consumer**	Within five working days from receipt of the written confirmation from PC, IP's power retailer and EVN, SMO must issue a written response to the Consumer regarding the expected date for: (i) signing the VWEM PPA between EVN and RE GENCO; (ii) converting the existing retail PPA between EVN PC/IP Power Retailer and Consumer; and (iii) applying the DPPA mechanism.
Step 5	**Negotiation of DPPA Agreements**	EVN, PC, RE GENCO and Consumer (or IP Power Retailer) shall proactively negotiate and sign respective PPAs in accordance with regulations of the DPPA decree.
Step 6	**Submission of requirement satisfaction**	RE GENCO, Consumer (or IP Power Retailer) and related entities shall submit documents to SMO confirming that they meet the requirements for participating in the DPPA mechanism.
Step 7	**Final notification**	SMO shall review the documents submitted in Step 6 and notify related entities in writing of the official date of the DPPA between RE GENCO and Consumer (or IP Authorized Power Retailer).

(DPPA Decree, Article 26)

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Synthetic DPPA - Application Documents required

01
Written request for participating in the DPPA mechanism

02
In-principle CfD agreement (forward contract) between RE GENCO and Consumer

03
Report on the current status of RE GENCO and power plant

04
Consumer's information and its consumption

05
In-principle agreement on the allocation of actual power output of RE GENCO for large consumers in each trading interval ($Qm_{(i)}$)

For (i) consumers inside IP, EZ and EPZ and (ii) IP's authorized power retailer, the following additional documents are required:

06
Written agreement with EVN PC on responsibility for the installation of meters for consumers that participate in DPPA mechanism, satisfying technical conditions under regulations, and expected electricity purchase charges/prices.

07
(i) Agreement of consumers with IP's power retailer on expected termination of the existing retail PPA(s) when consumer(s) select to participate in DPPA mechanism, and retail costs within the IP, EZ, and EPZ; OR
(ii) authorization agreement by consumers to IP power retailer to participate in DPPA mechanism and amendments to retail PPA(s).

(DPPA Decree, Articles 26.1 and 26.2)

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(DPPA Decree, Articles 26.1 and 26.2)

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Responsibilities of State authorities and EVN

MOIT	The main regulator for the operation of DPPA mechanisms, responsible for coordinating with other relevant agencies and entities to implement the DPPA mechanisms and resolving issues arising during the implementation period.
Provincial People's Committees	Inspecting, monitoring and resolving complaints, as well as handling violations during the implementation of the DPPA mechanisms within the scope of its own management/jurisdiction.
EVN	Guiding its PCs and dependent units on drafting PPAs between PCs and Consumers, and calculating payments, DPPA charges and loss coefficients.
SMO	Responsible for guiding participants in Synthetic DPPA mechanism (via the national grid); ensuring that total renewable energy capacity will not exceed such capacity for each type of power source specified in the approved PDP

(DPPA Decree, Article 29)

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Synthetic DPPA

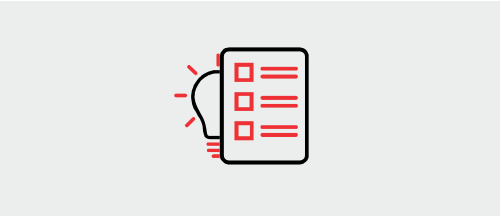
Reporting requirements

1. Monthly report on results of Synthetic DPPAs of Month M-1

- Reporter: SMO & EVN PCs
- Recipients: MOIT & in-charge provincial People's Committees
- Deadline: Before the 20th day of Month M
- Frequency: On a monthly basis

2. Quarterly report on deployment and results of Synthetic DPPAs nationwide for Quarter Q-1

- Reporter: EVN
- Recipient: MOIT
- Deadline: Before the 30th day of the first month of Quarter Q
- Frequency: On a quarterly basis



3. Annual report on implementation results of Synthetic DPPAs nationwide for Year N-1

- Reporter: EVN, SMO and PCs
- Recipients: MOIT and in-charge provincial People's Committees
- Deadline: Before 30 January of Year N
- Frequency: On an annual basis

(DPPA Decree, Article 28.2)

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Q&A

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